

VENDOR SERVICE AGREEMENT

Contract ID: CNT-2024-003

Effective Date: June 1, 2023

1. PARTIES

This Vendor Service Agreement ("Agreement") is entered into by and between:

CLIENT: TechFlow Global Inc., a corporation organized under the laws of Delaware, with offices at 500 Innovation Drive, Suite 200, San Jose, CA 95134.

VENDOR: Initech Solutions Pvt. Ltd., a company incorporated under the laws of India, with offices at Tower B, Cyber Gateway, HITEC City, Hyderabad, Telangana 500081.

Collectively referred to as the 'Parties'.

2. SCOPE OF WORK

The Vendor shall provide the following enterprise IT services:

- Development and maintenance of the Client's ERP integration layer.
- 24/7 production support with guaranteed 99.5% uptime SLA.
- Quarterly security audits and vulnerability assessments.
- Data migration services for legacy systems to cloud infrastructure.
- On-demand consulting for AI/ML feature development.

All deliverables shall conform to the specifications outlined in Exhibit A (Statement of Work), which is incorporated herein by reference.

3. CONTRACT VALUE & PAYMENT TERMS

Total Contract Value: USD 150,000 (One Hundred Fifty Thousand US Dollars).

Payment Schedule:

- 20% upon execution of this Agreement (USD 30,000).
- 30% upon completion of Phase 1 milestones (USD 45,000).
- 30% upon completion of Phase 2 milestones (USD 45,000).
- 20% upon final acceptance and go-live (USD 30,000).

Payment Terms: Net 45 days from invoice date. Late payments shall accrue interest at 1.5% per month or the maximum rate permitted by law.

4. INDEMNIFICATION & LIABILITY

4.1 The Vendor shall indemnify, defend, and hold harmless the Client from any claims, damages, losses, or expenses arising from:

- (i) Breach of this Agreement by the Vendor;
- (ii) Negligence or willful misconduct by Vendor personnel;
- (iii) Infringement of third-party intellectual property rights.

4.2 LIMITATION OF LIABILITY: In no event shall either Party's aggregate liability exceed the total Contract Value (USD 150,000). Neither Party shall be liable for indirect, incidental, consequential, or punitive damages.

4.3 IMPORTANT: The indemnity cap specified in 4.2 does NOT apply to:

- Breaches of confidentiality or data protection obligations;
- Willful misconduct or fraud;
- IP infringement claims.

5. TERMINATION

5.1 Either Party may terminate this Agreement for convenience upon 30 days' prior written notice to the other Party.

5.2 Either Party may terminate immediately upon material breach by the other Party that remains uncured for 15 days after written notice.

5.3 Upon termination, the Vendor shall:

- (a) Immediately cease all work;
- (b) Return or destroy all Client confidential information;
- (c) Provide reasonable transition assistance for up to 30 days.

NOTE: The short 30-day notice period and 15-day cure period may pose risk for complex enterprise engagements.

6. DATA PROTECTION & COMPLIANCE

6.1 The Vendor acknowledges that it may process personal data on behalf of the Client and agrees to comply with all applicable data protection laws.

6.2 WARNING: As of the execution date, no Data Processing Agreement (DPA) has been executed between the Parties. The Parties agree to negotiate and execute a DPA within 60 days of the Effective Date.

6.3 The Vendor shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk, including but not limited to:

- Encryption of data in transit and at rest;
- Regular security testing;
- Employee access controls and training.

RISK FLAG: Absence of a signed DPA at contract commencement represents a GDPR compliance risk that requires immediate remediation.

7. INTELLECTUAL PROPERTY

- 7.1 All pre-existing intellectual property remains with the originating Party.
- 7.2 DISPUTE: Ownership of newly developed IP under this Agreement is currently designated as 'shared ownership' between Client and Vendor. This ambiguous arrangement may lead to disputes regarding commercialization rights, licensing, and future modifications.
- 7.3 RECOMMENDATION: The Parties should clarify IP ownership to designate all custom developments as 'work for hire' owned exclusively by the Client, with the Vendor retaining rights only to its pre-existing tools and frameworks.

8. SERVICE LEVEL AGREEMENT (SLA)

- 8.1 The Vendor guarantees 99.5% system uptime measured monthly.
- 8.2 SLA penalties apply as follows:
- 99.0% - 99.49%: 5% credit on monthly invoice;
 - 98.0% - 98.99%: 10% credit on monthly invoice;
 - Below 98.0%: 15% credit and right to terminate.
- 8.3 The SLA penalty cap is 5% of total contract value (USD 7,500), which is below industry standard of 10-15%. This low penalty cap reduces the Vendor's financial incentive to maintain service quality.

9. GOVERNING LAW & DISPUTE RESOLUTION

- 9.1 This Agreement shall be governed by the laws of the State of Maharashtra, India.
- 9.2 Any disputes shall be resolved through binding arbitration administered by the Mumbai Centre for International Arbitration (MCIA).
- 9.3 The prevailing Party in any arbitration shall be entitled to recover its reasonable attorneys' fees and costs.

10. SIGNATURES

For CLIENT: TechFlow Global Inc.	For VENDOR: Initech Solutions Pvt. Ltd.
Name: Sarah Chen, VP Procurement	Name: Raj Patel, Managing Director
Date: June 1, 2023	Date: June 1, 2023